

Circular P-02 — Revised Dividend and Capital Distribution Policy for Regulated Firms

Reference:	FRA/P/2025/002	Issue Date:	12 Apr 2025
Effective Date:	01 Jun 2025	Response Deadline:	15 May 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Policy Change

The previous policy permitting dividend distributions without Authority notification for distributions below 10% of annual profit is REVOKED. With effect from 1 Jun 2025, ALL capital distributions — including dividends, share buybacks and AT1 coupon payments — require 30-day advance notification to the Authority regardless of size.

2. New Notification Requirements

Firms must notify the Authority using Form FRA-CAP-DIST-001 at least 30 calendar days before the record date for any distribution. The notification must include pro-forma capital ratios post-distribution under base and stress scenarios. The Authority may object within 20 days — silence constitutes no objection.

3. Capital Conservation Buffer

Distributions are prohibited if post-distribution CET1 ratio would fall below 7.5% (previously 6%). Firms with CET1 between 7.5% and 9% must apply the Capital Conservation Buffer earnings retention requirements.

4. Action

Submit notification for any planned Q2 2025 distributions by 15 May 2025. Update dividend policy documentation and Board resolution templates accordingly.